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TRANSPORTATION

Tesla profits pulled down by falling EV sales and regulatory credits

Kirsten Korosec · 1:40 PM PDT · July 23, 2025

Falling EV sales combined with a lower average selling price, less cash from regulatory credits, and a decline in solar and energy storage revenue took a toll on Tesla's bottom line in the second quarter of 2025. And a 17% growth in revenue in its services busine…
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However, net income, and more specifically operating income, is where the year-over-year gap grows larger.

Tesla reported net income of $1.17 billion in the second quarter, a 16% drop from the $1.4 billion in net income in the same period last year. Tesla reported $409 million in net income in Q1 2025 in the first quarter of the year.

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Meanwhile, Tesla's operating income fell 42% year-over-year to $923 million.

While Tesla noted pressure from an "uncertain macroeconomic environment resulting from shifting tariffs" and "unclear impacts from changes to fiscal policy and political sentiment," the company tried to position the results as a turning point in its focus, and future.

"Q2 2025 was a seminal point in Tesla's history: the beginning of our transition from leading the electric vehicle and renewable energy industries to also becoming a leader in AI, robotics and related services," the company said in its shareholder letter.

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The future Tesla is betting on has yet to deliver the kind of revenue its automotive sector has. Or any revenue, at all. Today, Tesla's push into robotics, AI, and robotaxis is an expense, not a profit driver.

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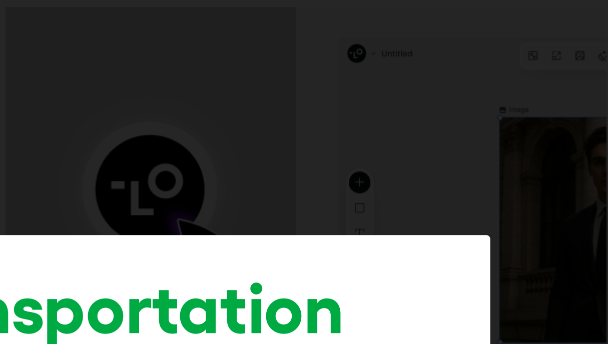

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Tesla’s earnings are largely a reflection of falling EV sales — although fewer regulatory credits also played a role. The company brought in $439 million in regulatory credits in the second quarter, a 50% drop since the same period last year.

Regulatory credits have provided a consistent stream of revenue, and in some cases, have helped push the company’s bottom line into the black. For instance, Tesla’s income in the first quarter was boosted by selling $595 million in zero-emissions tax credits. Without those, it would have posted a loss.

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Earlier this month, Tesla said it delivered 384,122 vehicles in the second quarter of this year, a 13.5% drop from the same period in 2024. Second-quarter sales were an improvement over the first quarter, however, when the company delivered 337,000 vehicles.

Meanwhile, Tesla is facing regulatory and legal pressures that could further undermine its effort to reboot sales.

The California Department of Motor Vehicles is arguing in a hearing that kicked off Monday that

Tesla should lose its license to sell vehicles in the state over false advertising claims on its branded Autopilot and Full Self-Driving advanced driver assistance systems.

Meanwhile, a civil lawsuit is playing out in a Florida courtroom over a fatal 2019 crash in which a Tesla driver using Autopilot plowed through an intersection and struck two people. The case, which will allow a jury to consider punitive damages, centers on how Autopilot is advertised to its customers.

Topics: earnings electric vehicles Elon Musk EVs

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TRANSPORTATION

Tesla profits drop 55%, company says EV sales ‘under pressure’ from hybrids

Kirsten Korosec, Sean O'Kane, Rebecca Bellan

4:10 PM PDT · April 23, 2024

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billion in the first quarter, a 54% decrease from the same year-ago period.

The company said in its Q1 earnings report that it experienced “numerous challenges” in the first quarter, including the Red Sea conflict and the arson attack at Gigafactory Berlin and the gradual ramp of the updated Model 3 at its factory in Fremont, California. Tesla also noted that global EV sales continue to be under pressure as many carmakers prioritize hybrids over EVs. On the upside, that hybrid approach has meant automakers continue to buy regulatory credits;

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Tesla earned $442 million in zero emissions tax credits in the first quarter.

"The EV adoption rate globally is under pressure and a lot of other auto manufacturers are pulling back on EVs and pursuing plug in hybrids instead," Tesla CEO Elon Musk said in opening remarks on the earnings call. "We believe this is not the right strategy, and electric vehicles will ultimately dominate the market."

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Shares pop on future promises

The results, posted after markets closed Tuesday,
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research and development in the first quarter, a 49% increase from the same quarter in 2023.

Musk emphasized that despite the downward pressure, the company was focused on — and investing in — the future. Specifically, the company is accelerating work on a new vehicle lineup with production expected in early 2025, if not late this year, Musk said.

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years, topping out to a new record of 1.8 million vehicles in 2023. But the company's profits have suffered thanks to repeated price cuts that started in late 2022.

While those price cuts did provide a temporary bump in sales, it hasn't had a lasting effect. Tesla delivered 386,810 vehicles in the first quarter of 2024, down 20% from the 484,507 it delivered in the final quarter of 2023. This wasn't just a quarter-over-quarter blip either; Tesla delivered 8.5% fewer cars than the first quarter of 2023. Automotive gross margins, excluding regulatory credits, shrank to 16.35% in the first quarter compared to 18.96% in the same year-ago period.

Tesla warned in January that growth of its vehicle sales "may be notably lower" in 2024, noting at that time it was between "two major growth waves" and prepping for the launch of a new vehicle platform to build a smaller EV that costs around $25,000. The company has also been prepping a "robotaxi" built on the same platform. In the meantime, Tesla's only new model is the expensive (and fussy) Cybertruck; the company has launched new variants on existing models, including the Tesla Model 3 Performance.

Musk said during the company's earnings call in
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Less than two weeks after announcing the robotaxi launch date, Musk oversaw a 10% reduction in headcount and a restructuring that puts autonomy in sharp focus. Two high-profile executives — Drew Baglino, Tesla's SVP of Powertrain and Energy, and Rohan Patel, VP of Public Policy and Business Development — also left the company. Tesla CFO Vaibhav Taneja said Tuesday during the earnings call that the savings generated from the workforce reduction is expected to be well in excess of $1 billion on an annual basis.

Other revenue sources

While automotive revenues fell, there were gains in other parts of the business, notably energy storage.

The company reported that energy storage deployments increased to a record 4.1 GWh. That pushed revenue for energy generation (meaning solar) and storage to 1.6 billion in the first quarter, a 7% increase from the same quarter last year. Tesla noted that most of that growth came from increased Megapack deployments, which was partially offset by a decrease in solar installs.

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Tesla

While Te
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was first revealed in November 2017, is now being pushed out another year.

The Tesla Semi, which was originally planned to go into production in 2019, has been repeatedly delayed. The company did reveal a production-ready Semi in December 2022 and delivered a handful to Pepsi, its first customer, for a pilot. But it has yet to scale up volume production.

Last June, Musk said the company wouldn't begin producing the Class 8 big rig until the end of 2024. The first production Semi vehicles are now planned for late 2025 with external customers starting in 2026, according to Tesla.

Tesla is finalizing the engineering for the Semi to allow for "super cost effective high production," according to information shared on the call. The company shared in its first-quarter earnings report that it has started construction of a Tesla Semi factory near its so-called Gigafactory in Sparks, Nevada.

Topics: earnings Elon Musk EV EVs Tesla Transportation

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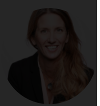

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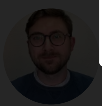

Sr. Reporter, Transportation

Sean O'Kane is a reporter who has spent a decade covering the rapidly-evolving business and technology o...

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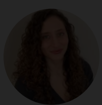

Rebecca Bellan

Senior Reporter

Rebecca Bellan is a senior reporter at TechCrunch, where she covers Tesla and Elon Musk's broader empire,...

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Tesla charges forward with a record quarterly

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Tesla continued its profitability streak, reporting Wednesday net income of $1.62 billion in the third quarter, a nearly fivefold increase from the $331 million it earned in the same period last year. The record-setting profit came thanks to record sales and despite a global chip shortage and supply chain constraints that have affected the industry.

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Notably, Tesla was able to earn that record net income (on a GAAP basis) even as the vast majority of its sales came from its cheaper Model Y and Model 3 electric vehicles. Tesla did take a Bitcoin-related impairment of $51 million in the quarter,

Latest in Transportation

ended September 30. Shares fell less than 1% in after-market trading to $859.80.

Tesla reported that operating income was $2 billion, which increased year over year from $809 million. Operating income also grew 54% from the $1.3 billion reported in the second quarter. The company also generated $13.76 billion in revenue in the third quarter, a 56% increase from the $8.77 billion it reported the same period last year. Revenue was also 15% higher than $11.96 billion reported in the second quarter of 2021.

While Tesla fancies itself an energy, technology and sustainability company, the bulk of its revenues still come fr
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For now, the success of the company hinges on its ability to produce and sell EVs (as opposed to solar and energy storage, two other products it manufactures and sells) as well as its ability to make its so-called FSD (Full Self-Driving) software widely available to owners who have purchased the product and are still awaiting a wider rollout. Tesla is facing increasing regulatory scrutiny over its tactic of releasing beta software to some owners.

The company noted in its third-quarter earnings report that a “variety of challenges, including semiconductor shortages, congestion at ports and

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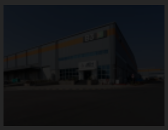

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rolling blackouts, have been impacting our ability to keep factories running at full speed." The comments suggest that demand is not a problem and that it is limited only by supply chain and logistical constraints.

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Energy basis sa that Tesla said was driven by growth in its commercial Megapack product. That growth did slow between the second and third quarters showing just a 1.6% increase in deployed MWh.

The same story plays out on the solar energy stage. Tesla reported it installed 83 megawatts of solar in the third quarter, a 46% increase year-over-year and a 2.35% drop from the second quarter. The solar installed in the third quarter is the lowest numbers reported in 2021.

The positive results follow record deliveries of its Model 3 and Model Y vehicles in the third quarter. The automaker said it delivered 241,391 electric vehicles in the third quarter, blowing past expectations as other U.S. automakers experienced a drop in sales as the result of a global chip shortage.

The vast majority of Tesla deliveries (some 96%) were its newer Model 3 sedan and Model Y crossover. Only 9,275 of the vehicles it delivered were Model X and S. Deliveries grew 20% since the second quarter and were 73% higher than the same period last year.

Production numbers also grew. Tesla produced 237,823 electric vehicles in the third quarter, another record for the company.

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Kirsten Korosec

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Kirsten Korosec is a reporter and editor who has covered the future of transportation from EVs and autonomous...

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